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Marriott Tops Expectations, Helped by Lower Costs

Hotel chain in the process of acquiring Starwood posts profit of $219 million, or 86 cents a share

By Lisa Beilfuss

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A Marriott International Inc. flag hangs at the entrance of the New York Marriott Downtown hotel in New York.
REUTERS

Marriott International Inc., MAR **-0.79%** ▼ which is in the process of acquiring Starwood Hotels & Resorts Worldwide Inc., beat first-quarter expectations thanks to lower costs and an uptick in business across Asia.

Last month, the hotel operator won a bidding war for the owner of the Sheraton and Westin chains, after rival Chinese bidder Anbang Insurance Group Co. abruptly pulled out. On Wednesday, Marriott Chief Executive Arne Sorenson said the merger is on track to close mid-2016.

Marriott's portfolio includes Courtyard and Renaissance hotels, in addition to the high-end Ritz-Carlton and its namesake brand. In the latest quarter, world-wide comparable revPAR—or average revenue per available room—increased 1.2%, while the hotel metric rose 2.2% in North America. International revPAR declined 2.5%, but rose 3.5% when adjusted for foreign exchange volatility. On a currency-adjusted basis, world-wide revPAR rose 2.6%.

For the period, Marriott reported a profit of $219 million, or 86 cents a share, up from $207 million, or 73 cents a share, a year earlier. A lower share count aided per-share earnings.

Revenue rose 7.4% to $3.77 billion. Analysts projected 84 cents in adjusted earnings per share on $3.68 billion in sales, according to Thomson Reuters.

A spokeswoman attributed the better-than-expected results in part to lower-than-expected overhead expenses, which increased 12% from a year earlier. Strength in Asia also helped drive results. Occupancy there rose 4.3% and RevPAR increased 6.8% on a currency-neutral basis, offsetting weakness in the company's Middle East and Africa market. Demand for luxury hotel stays also helped propel first-quarter earnings; RevPAR at Ritz-Carlton jumped 6.2% and rates rose 3.6%, helped by an early Easter and a snowy quarter that increased bookings in locales such as Tahoe.

For the year, Marriott continues to expect a 3% to 5% increase in currency-adjusted RevPAR. Second-quarter earnings per share will come in between 96 cents and $1, the company said, short of the $1.01 analysts have expected.

Because of the pending deal, the company declined to provide full-year earnings per share guidance.

Marriott said it added 68 new properties, or about 10,000 rooms, during the quarter. It ended March with about 275,000 rooms in its pipeline.

Shares in the company, up 2.5% since the start of the year through Wednesday's close, rose 1.9% in after hours trading.

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